

# Valuation Report

Rural Property



8 Powerline Road, Bidwill, QLD 4650

|                     |                                                                                  |
|---------------------|----------------------------------------------------------------------------------|
| <b>As at</b>        | 23 February 2022                                                                 |
| <b>Prepared for</b> | Suncorp-Metway Limited                                                           |
| <b>Borrower</b>     | ZL Macadamia Investment Pty Ltd ATF ZL Macadamia Unit Trust (Your Ref: 18213305) |
| <b>Our Ref</b>      | JB2858111                                                                        |
| <b>Client Ref</b>   | ValEx ID: 18213305                                                               |

This Valuation Report is prepared for the Lender named above and for first mortgage purposes only and is not to be used or relied upon by any other party for any other purpose. It is subject to the terms and conditions, disclaimers, qualifications and limitations contained in this Valuation Report, including the Third Party Disclaimer and Lender's Customer Disclaimer.

Hervey Bay

Herron Todd White (RQ) Pty Ltd  
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1. Herron Todd White (HTW) does not authorise the disclosure of this Valuation Report by Suncorp-Metway Limited (the Lender) to any unauthorised third party other than to their customer, borrower or guarantor (the Lender's Customer) who:
  - a. directly paid for or reimbursed the lender specifically for this Valuation Report; and
  - b. has acknowledged and agreed in writing, prior to receiving a copy of this Valuation Report, that HTW and the valuer has no liability to the Lender's Customer howsoever arising, including as a result of negligence.

Any use by the Lender's Customer is subject to the following warnings and terms of use.

2. The Lender instructed HTW to undertake a valuation of the subject property and prepare a Valuation Report for the Lender to rely upon when assessing the subject property's suitability for mortgage security purposes.
3. HTW prepared the Valuation Report in accordance with the Lender's instructions (Instructions). When preparing the Valuation Report and providing it to the Lender, HTW acted solely and exclusively for the Lender and owed no duty to advise the Lender's Customer or to consider their circumstances or position.
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5. HTW has not assumed any duty to advise the Lender's Customer or to consider the Lender's Customer's circumstances or position by being aware that the Lender must meet its obligations under the Code and provide the Lender's Customer with a copy of the Valuation Report.
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  - a. deciding whether or not to enter into a transaction or alter their financial position; or
  - b. seeking finance from a third party, and should seek their own advice and valuation in such circumstances.
8. The estimated insurance value, if included in the Valuation Report is an estimate of the cost to replace the property new and is based on construction costs at the date of valuation. The insurance value includes some, but not all, ancillary costs that may be encountered when rebuilding the property as detailed in the Valuation Report. The insurance value should not be relied on as a full and accurate estimation of the insurance value for the purposes of making a decision as to the level of insurance coverage that the Lender's Customer should maintain.
9. The contents of the Valuation Report are confidential and HTW does not authorise the disclosure of the Valuation Report by the Lender's Customer to any third party.
10. The Lender's Customer should take note of the date of valuation of the subject property and be aware that the Valuation Report is current at the date of valuation only. The market value of the property may change significantly over a short period of time.
11. The Lender's Customer should direct any questions relating to the Valuation Report to the Lender. HTW is unable to speak to the Lender's Customer directly due to privacy and confidentiality obligations owed to the Lender.



## EXECUTIVE SUMMARY - MORTGAGE FINANCE VALUATION

### INSTRUCTIONS

|                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|--------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Property Address</b>                                | 8 Powerline Road, Bidwill, QLD 4650.                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Instructing Party</b>                               | Jennifer Raines of Suncorp-Metway Limited.                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Prepared For</b>                                    | Suncorp-Metway Limited.                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Date of Inspection</b>                              | 23 February 2022.                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Date of Valuation</b>                               | 23 February 2022.                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Date of Issue</b>                                   | 3 March 2022.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Borrower /<br/>Client Reference /<br/>Applicant</b> | ZL Macadamia Investment Pty Ltd ATF ZL Macadamia Unit Trust / ValEx ID:<br>18213305.                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Basis of<br/>Assessment</b>                         | <p>The interest being valued is the unencumbered fee simple, water licences, excluding crop and plant and equipment.</p> <p>Our valuation has been prepared for first mortgage security purposes for use by Suncorp-Metway Limited. It has been prepared in accordance with the current Australian Property Institute's Mortgage Valuation Practice Standards and Suncorp-Metway Limited standard instructions.</p>                                                                           |
| <b>Purpose of<br/>Valuation</b>                        | <p>First mortgage security purposes only.</p> <p>This valuation report is for the use of and may be relied upon only by the party/parties to whom it is addressed. No other parties are entitled to use or rely upon it and the valuer does not assume any liability or responsibility to any other party who does so rely upon the valuation without the express written authority of Herron Todd White (RQ) Pty Ltd.</p>                                                                    |
| <b>Definitions:</b>                                    | <p><b>Market Value</b></p> <p>The estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion.</p> <p><b>Highest and Best Use</b></p> <p>The use of an asset that maximises its potential and that is physically possible, legally permissible and financially feasible.</p> |



## TITLE AND STATUTORY DETAILS

| Real Property Description | Lot          | Plan     | Tenure   | Title Ref. | Registered Owner/Lessee          | Area (ha)     |
|---------------------------|--------------|----------|----------|------------|----------------------------------|---------------|
|                           | 1            | RP188681 | Freehold | 16507061   | ZI Macadamia Investments Pty Ltd | 211.80        |
|                           | 2            | RP895403 | Freehold | 50107195   | ZI Macadamia Investments Pty Ltd | 69.16         |
|                           | 12           | RP177098 | Freehold | 16331043   | ZI Macadamia Investments Pty Ltd | 53.02         |
|                           | <b>Total</b> |          |          |            |                                  | <b>333.98</b> |

### Encumbrances

We have been provided with a copy of the title searches by the lender and they are annexed to this report. We note that we have not conducted our own title search of the property. Should any of the details in the supplied title search be incorrect then we reserve the right to review our valuation.

#### Encumbrances

- Rights and interests reserved to the Crown by Deed of Grant No. Various (see individual titles for details)

**Valuer Comments:** This is a common encumbrance on properties of this nature and is not considered to have an effect on the value of the property.

- Easement No 719683010 17/10/2019 at 16:18 benefiting the land over Easement A ON SP314474

**Valuer Comments:** Is in favour of the subject property and used for irrigation purposes.

- Mortgage No 719960864 18/03/2020 at 08:33 Westpac Banking Corporation A.C.N. 007 457 141

**Valuer Comments:** We have assumed that any mortgage would be released on transfer of title, and in this regard this encumbrance has no impact on the value of the property.

- 714352334 Veg Notice 08/03/2012 14:31 Current

**Valuer Comments:** Assumed to be a Property Map of Assessable Vegetation (PMAV) which is a good long term management tool.

The above noted easements have not been individually searched nor a legal opinion obtained regarding their precise impact on the land.

This valuation is subject to there being no other encumbrances, which may have an adverse effect on our valuation. Should any such easement or encumbrance become apparent, we reserve the right to review our valuation.



## TITLE AND STATUTORY DETAILS

### Water Rights

#### Licence Details

#### Water Allocation

|                    |                                  |
|--------------------|----------------------------------|
| Reference No       | 46020060                         |
| Registered Owner   | ZI Macadamia Investments Pty Ltd |
| Registered Parcels | 5152 AP14179                     |
| Water Authority    | Mary Basin                       |
| Water System Type  | Water Allocation                 |
| Trading Zone       | Lower Mary                       |
| Volume (ML)        | 400                              |

We have been provided with a copy of a title search by the lender and it is annexed to this report. We note that we have not conducted our own title search of the property. Should any of the details in the supplied title search be incorrect then we reserve the right to review our valuation.

### Local Authority

Fraser Coast Regional Council.

### Zoning

The property is designated Rural Zone according to the Fraser Coast Planning Scheme 2014 that took effect on and from the 28 January 2014.

The minimum subdivision area is 100.00 ha.

The property conforms with the current use as a Macadamia Orchard under the town planning guidelines.

It should be noted that we have not sighted any town planning approvals for the subject property. Our valuation is based on the assumption that all of the improvements have been fully approved by the Council.

A Local Authority search has not been carried out and it is assumed the property is free of requisitions.



## VALUATION SUMMARY

### Property Description "As Is"

The asset under review comprises a macadamia orchard which is located approximately 20 kilometres south of Maryborough, consisting of 194.2 hectares. Planted to 61,542 irrigated macadamia trees which were established in 2021 and 2022 and 139.78 hectares of balance land.

The property has an irrigation water allocation and in addition dams which in total amounts to 550 ML, reflecting a rate of 3.1 ML/ha, being below district standard of 4ML /ha.

Structural improvements comprise a shed.

### Last Sale

The last recorded sale was on 2 October 2019 for \$3,160,000.

The macadamia trees and irrigation system have been developed since the sale occurred at a reported cost of \$6,300,000.

### Market Value "As Is"

Subject to the assumptions and qualifications contained within the body of this report, the market value of the subject property (exclusive of GST) as at the date of valuation, has been assessed at :-

#### Valuation Assessment

**Market Value "As Is" \$12,100,000**

**(Twelve Million One Hundred Thousand Dollars)**

Our market value assessment is exclusive of any applicable GST.

### Valuer



**Tony Bailey**  
FAPI / Certified Practising Valuer  
API NO: 65794, VRBQ NO: 1390



**Will McLay**  
Director  
AAPI / Certified Practising Valuer  
API NO: 65736, QVRB NO: 3055

### Important:

All data provided in this summary is wholly reliant on and must be read in conjunction with the information provided in the attached report. It is a synopsis only designed to provide a brief overview and must not be acted on in isolation.

This report has been reviewed by Michael Gannon, an appointed National Quality Assurance (QA) Director under the Herron Todd White Quality Assurance program. The appointed National QA Director has reviewed the valuation, and based upon such review and appropriate questioning, is satisfied that the value opinion contained in the valuation has been reached based on reasonable grounds. However, the client acknowledges that the opinion of value expressed in this report has been arrived at by the prime signatory alone. The National QA Director has not undertaken any part of the valuation process nor inspected the property.

The Counter Signatory, Will McLay, has reviewed the report and is satisfied that the opinion of value contained in the report has been reached based on reasonable grounds. For the avoidance of doubt, the Counter Signatory has not inspected the property and as such (under the API Professional Practice) cannot be an author of this report, and is confirming prima facie that the methodology used by the author of the report (the prime signatory) is sound.

This Valuation Report is prepared for the Lender named above and for first mortgage purposes only and is not to be used or relied upon by any other party for any other purpose. It is subject to the terms and conditions, disclaimers, qualifications and limitations contained in this Valuation Report, including the Third Party Disclaimer and Lender's Customer Disclaimer.



## ASSUMPTIONS, CONDITIONS AND LIMITATIONS

### Critical Assumptions

- This valuation report is provided subject to the assumptions, disclaimers, limitations and qualifications detailed within this report. Reliance on this report and extension of our liability is conditional upon the reader's acknowledgement and understanding of these statements.
- The property has been identified by cadastral mapping and the improvements appear to be within site boundaries. Please be advised that with regard to rural properties, it is often the case that encroachment of fencing occurs either way. It is however, not always practical to verify the status of boundaries due to the sheer size and scale of the properties and in most instances the impact on productivity, marketability or value is insignificant.
- The Valuer advises that the land classification as assessed in this report is derived from various forms of mapping, site inspection and verbal advice. The assessed land classification is at best an estimate and an accurate determination of land type/use can only be obtained by a site survey.
- All water entitlements referred to in this report are utilised on the subject property and form part of the overall assessment, notwithstanding that they are the personal property of the licensee and are not part of the real property.
- The water entitlements referred to in this report are unencumbered and will continue to be renewed on the same terms and conditions as the existing water entitlements.

### Financier Recommendations

- As at the date of valuation there have been limited transactions in this asset class, post the Coronavirus (COVID-19) outbreak, for comparison purposes to inform opinions of value. We are therefore faced with a higher degree of market uncertainty on which to base judgement. Consequently a higher degree of caution should be attached to our valuation than would normally be the case. Given the valuation uncertainty noted, we recommend that any party authorised to rely on this report review this valuation periodically.
- The Novel Coronavirus (COVID-19) pandemic is forecast to have a significant impact on the Australian economy. The market that the property/asset transacted and/or valued in is being impacted by the uncertainty that the COVID-19 outbreak has caused. Based on previous economic downturns, it is possible that some (or all) property sectors may experience a period of weak buyer demand, extended selling periods and potentially diminution in asset values. At this stage, the full impact of the pandemic on the property market cannot be known.
- The subject property is considered to offer suitable security for first mortgage purposes.
- The Lender should satisfy itself, on legal advice, as to the adequacy of the security arrangements offered in respect of the water entitlements. In the event that such water licences are not available, have changed or do not form part of the security available, together with the real property, to be realised in a default situation, the value of the real property may be seriously and detrimentally affected.
- In the event that the lender is not satisfied with the security arrangements offered in respect of the water entitlements, the Valuer should be requested to provide a valuation of the real property on a stand alone basis.
- The water entitlements utilised on the subject property are an integral part of its on going market value. Any change in the water entitlements or licences referred to in this report will result in a potentially significant increase or decrease in the market value of the combined property/water entitlements. If water entitlements referred to in this report change this valuation should be referred to the Valuer for review.





## RISK PROFILE

### Asset

#### Positive factors which enhance value and mitigate risk include:

- This is a well-designed orchard which is in line with modern orchard plans.
- The tenure is freehold with good bitumen road access.
- The trees being up to 12 months of age and are in good health. The first harvest should be in 3 years (2024) with commercial production in 5 years (2026).
- The property structures are in fair to good condition.
- Adequate irrigation water supply for the current tree age.

#### Negative factors which detract from value and elevate risk include:

- Generally trees may be prone to an increased risk relating to phytophthora (root rot) if drainage systems are ineffective/inadequate which is generally a common issue. This will reduce yields.
- The property will require another 1.17ML/ha when the trees reach maturity (in about 3 years). The property has a dam which the owners intend to develop to support existing water provisions.
- The irrigation water supply from Tinana Creek is located 3.2 kms from the property which adds to the irrigation costs.

**Overall Risk: LOW-MEDIUM**

### Market

- There are currently many factors at play in the market including interest rates at historic lows, significant government stimulus to certain sectors, vaccine rollouts and the possibility of restrictions in the event of further Covid-19 outbreaks. Whilst some market sectors have experienced a rebound in activity, it remains difficult to predict how the economy and property markets will perform moving forward. We caution any party authorised to rely on this report to take this uncertainty into consideration.
- Market: Extremely buoyant market conditions prevail for macadamia nut orchards of this scale and we caution many Queensland rural market sectors are considered to be at or approaching a cyclical peak, with elevated risk of future price vulnerability.
- Limited sales of rural properties above one million dollars (\$1,000,000) and very limited sales of macadamia nut orchards.
- We note that if this property was to be taken to the market not presented to the same level it is currently presented, then significant discounting could occur to achieve a sale.
- Macadamia nut orchards require specialised management.
- There is potential for an oversupply of macadamia orchards as additional plantings come online and into full production.
- Macadamia nut producing farms are a highly cyclical business with the value of the product highly dependent on overseas sales. Approximately 70% of production is exported to 40 countries. Over the past 5 years macadamia nuts have been in strong demand with increasing prices, which have now stabilised.
- Demand for Macadamia nut orchards in this location is very high. As a result of a large number of new orchards being established, production will increase dramatically over the next 3 – 5 years. This creates downside risk to the asset class.
- Macadamia nuts rely heavily on export markets, in particular China. The impacts to nut prices are yet to be fully known, however there are obvious risks associated with COVID19 and the consequential impacts to Australian exports.





## RISK PROFILE

### Market

- With reference to the above, we caution the inherit risks to this asset class associated with commodity values. Any significant and prolonged decrease in current macadamia nut prices will likely result in a decrease in the value of developed orchards in this location.
- Values achieved for macadamia farms have now reached a level of \$80,000 to \$100,000 per hectare. Market values for alternate uses (sugar cane and small cropping) on the same soil types are in the order of \$20,000 - \$30,000 per hectare. This highlights the premium inherent in established orchards, as well as the risks to this asset class aligned specifically with the macadamia industry.
- On this assumption that nut prices remain stable, demand for the asset should be good. With an assessed value, potential buyers would be an established industry operator.
- Local farmers would be the most likely buyer.

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**Overall Risk: LOW-MEDIUM**

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### Environmental

- Chemical usage of the farms.
- We have assumed that all infrastructure and activities undertaken on the property comply with relevant legislation.

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**Overall Risk: LOW**

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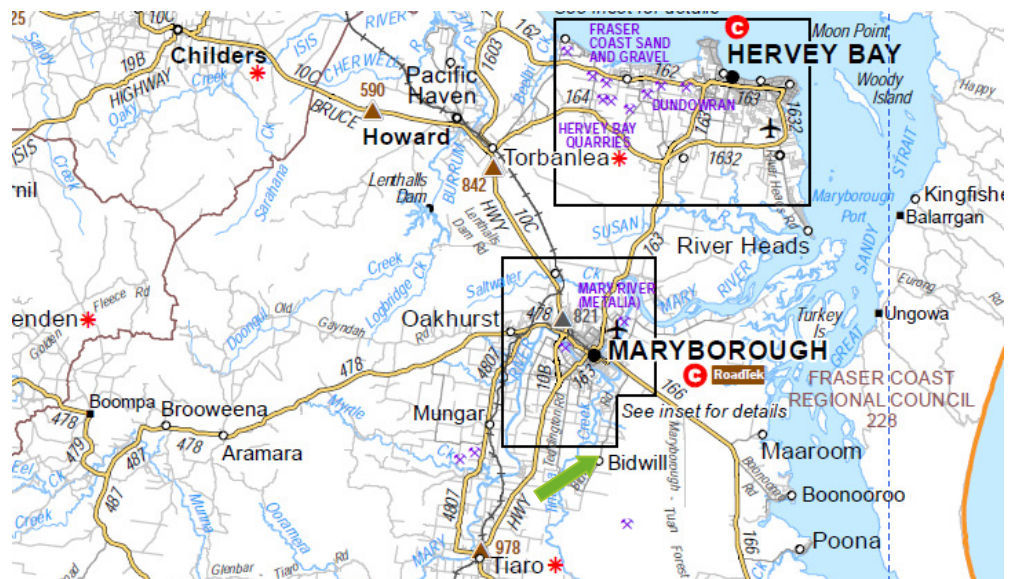
## PROPERTY DESCRIPTION

### LOCATION

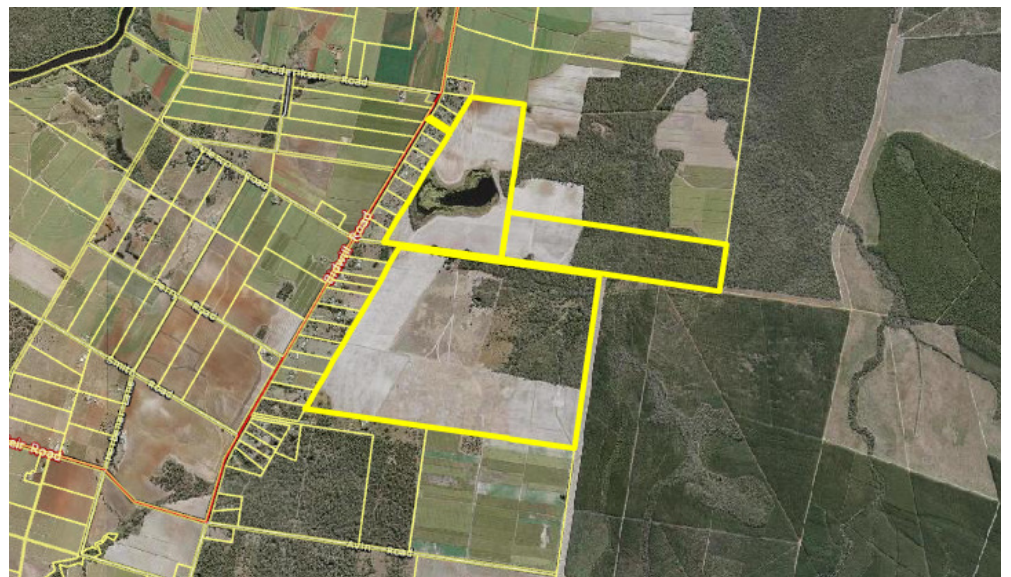
#### Location

Bidwill is a rural residential suburb on the southern side of Maryborough. The area consists predominantly of 2 hectare sites improved with a mix of brick and timber homes, along with vacant rural land. The Maryborough township comprises a large portion of historical Colonial and Queenslander style homes surrounding the main commercial precinct adjoining the Maryborough train station and bus terminal. Modern brick homes are scattered throughout and full subdivisions have been developed on the fringes of town. The Maryborough airport is on the north eastern side of town, freight trains pass through the western part of town and the Tilt-Train station is further to the west.

We have identified the property from the cadastral map attached and our site inspection.



Source: DTMR

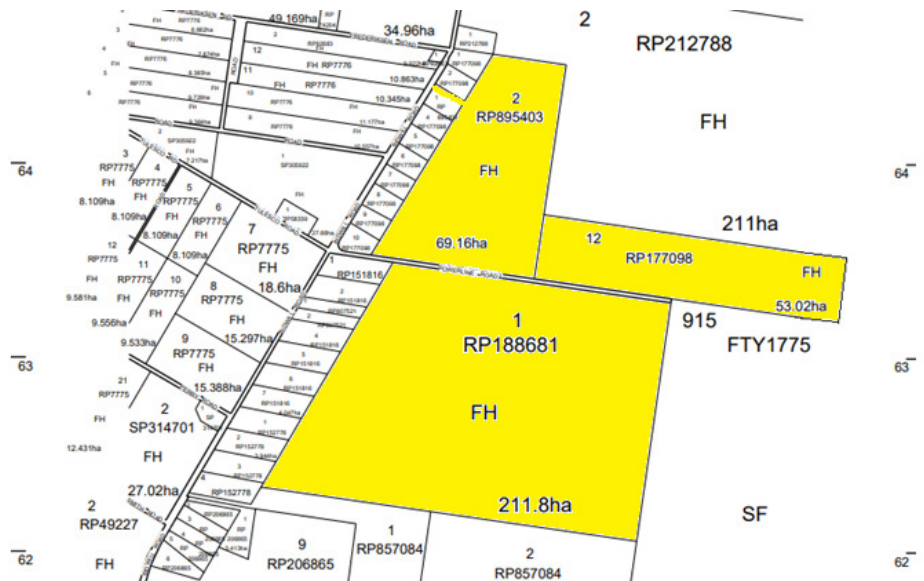


Source: Qld Globe



## LOCATION

### Location



Source: SmartMap

### Surrounding Land Use

This is a rural lifestyle, mixed farming area with varying quality property surrounding.

## THE LAND

### Road System and Access

Powerline Road is a sealed typical country road. Access to the subject property is easy and direct.

### Services

Dam water, creek water, tank water, solar power, single phase power, 3-phase electricity and regulated irrigation system are connected to the property. Mobile coverage is available.

### Property Characteristics

The subject property comprises:

|             |                                                    |
|-------------|----------------------------------------------------|
| Topography  | Gently undulating.                                 |
| Soil        | Grey soil forest.                                  |
| Development | Partly planted to 61542 Irrigated Macadamia Trees. |
| Vegetation  | Bloodwood, ti-tree and wattle, stringybark.        |

### Country Classification

A break up of the country development is as follows:

| Classification | Development                                | Area (ha)     | %             |
|----------------|--------------------------------------------|---------------|---------------|
| Forest         | planted to 61542 irrigated macadamia trees | 194.20        | 58.15         |
| Forest         | Balance area                               | 139.78        | 41.85         |
| <b>Total</b>   |                                            | <b>333.98</b> | <b>100.00</b> |

### Trees Numbers

61,542 irrigated macadamia trees planted in 2021 and 2022 at 317 trees /ha.

### Fencing

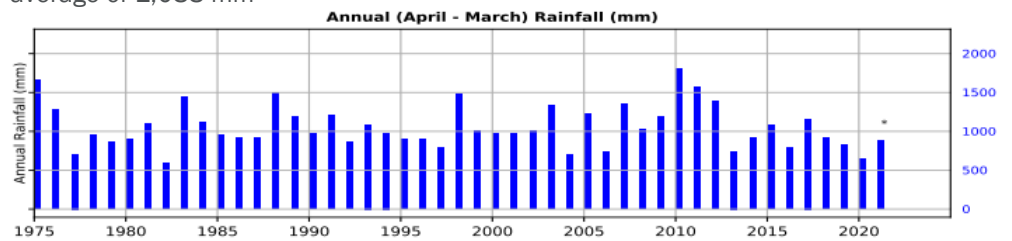
The property is partly fenced with pig proof fencing.



## THE LAND

### Rainfall

The Bureau of Meteorology rainfall mapping indicates that the property is located within an area with an annual rainfall range of between about 738 mm and 1,199 mm with an average of 1,088 mm



### Highest and Best Use

We consider the current use as a horticulture property to be consistent with the highest and best use of the land at this time.



## ENVIRONMENTAL STATEMENT

### Site Issues

|                                                                                                                                                                                               |    |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|
| Any indication of previous noxious or potentially contaminating use?                                                                                                                          | No |
| Subject to an environmental planning overlay that could constrain land use and development?                                                                                                   | No |
| Adjoining land subject to an overlay that indicates adjoining land could be contaminated?                                                                                                     | No |
| Based on visual inspection to the extent that it is reasonably possible, are there adjoining sites that appear to or are known to have or have had noxious or potentially contaminating uses? | No |
| Based on visual inspection and/or public record and to the extent that it is reasonably possible, is any known water (including ground and subsurface) contaminated in the surrounding land?  | No |
| Identified industrial processes onsite that involve the use of chemicals or hazardous materials?                                                                                              | No |
| Identified past or present underground storage of fuels, chemicals or hazardous materials at the property?                                                                                    | No |
| Included in the current register of contaminated sites?                                                                                                                                       | No |
| Do operations require environmental licensing, resource consent or equivalent?                                                                                                                | No |
| Site contamination evident?                                                                                                                                                                   | No |
| Environmental Register Searched?                                                                                                                                                              | No |

The site is (or has been) occupied by an undertaking which, having regard to the nature of process or chemicals used or stored, has a potential to cause soil contamination. Whilst our enquiries indicate that the owner is unaware of contamination, we recommend a site inspection by an Environmental Consultant.

The current use of the property for rural uses may involve the storage of quantities of fuel and/or farm chemicals and/or spraying of pesticides/herbicides. The existence of such products on site may require the property to be registered on the Environmental Management Register.

Whilst the Valuer did not note any obvious hazardous or toxic material on site, it should be noted that the valuation has been prepared without the benefit of a soil test or environmental studies of any sort. Accordingly, the valuation is subject to there being no surface or sub-surface soil problems including instability, toxic or hazardous wastes or building material hazards in or on the property that would adversely affect its existing or potential use or reduce its marketability.

We have not searched the Environmental Management Register or the Contaminated Land Register and are not able to state if the property is listed on either register.

### Vegetation Management Status

We have assumed that all land development has been in compliance with the relevant statutory regulations. Should this not be the case, we reserve the right to review our assessment.





## IMPROVEMENTS



| Building       | Area | Unit | Floor           | Frame  | Cladding       | Roof  | Cond. |
|----------------|------|------|-----------------|--------|----------------|-------|-------|
| Machinery shed | 139  | sqm  | Earth, Concrete | Timber | Metal cladding | Metal | Fair  |

### General Comments

Good condition.

### Asbestos Materials

Could any buildings or improvements at the property predate 1990?

**Yes**

Is asbestos containing material known to be present?

**No**

Asbestos register/record available?

**No**

As the improvements were constructed prior to 1 January 1990, State legislation stipulates that an 'Asbestos Register' must be prepared and kept at the workplace.

We advise that the inspection of the subject property did not reveal any obvious visible asbestos containing materials to the valuer. The valuer is not qualified to conclusively determine the existence of asbestos and will not be held liable nor responsible for his/her failure to identify any asbestos containing materials and the impact which any asbestos material has on the property and its value. Should any asbestos concerns become apparent, this report must not be relied upon and should be returned to the valuer for further comment and review.

We have requested the 'Asbestos Register' however this has not been provided. We are unaware if an 'Asbestos Register' has been prepared.

The presence of asbestos, change in community attitudes and the cost associated with dealing with its removal has the potential to reduce marketability and value of the property. The extent of this cannot be known.

### Compliance of Building Materials

: We have not obtained a compliance certificate in relation to the building materials. This valuation report has been prepared with the assumption that the building materials used, as well as the application and installation of those materials, are compliant with the building design as well as Australia's regulatory requirements and codes.



## PROPERTY MARKET OVERVIEW

### Property Market Overview

Macadamias are cultivated along the coastal strip of eastern Australia between Queensland's Atherton Tablelands south to Nambucca Heads region of New South Wales. The majority of plantations are located in the south-east of Queensland, especially around Bundaberg, Queensland, and north-eastern New South Wales along the eastern side of the Great Dividing Range. There are smaller plantings in the north-central New South Wales coast, northern Queensland and Western Australia.

Macadamia nuts account for around 2% of the world nut tree trade of which Australia's share is 45%. Australia is the world's largest producer of macadamias and has more than 6.8 million trees in the ground. Australia's macadamia industry is worth nearly \$285million at the farm gate in 2016. About 60-70% of Australian macadamias are exported). The 2020 crop was 50,000 tonnes NIS (nut in shell).

#### Production areas:

The main macadamia production areas are the Northern Rivers region of NSW, south east Queensland and Bundaberg on the Central Queensland coast. They grow as far south as Coffs Harbour in NSW and as far north as the Atherton Table lands.

Production is principally undertaken by family owned orchards, partnerships and some corporate farms.

#### Current Production:

There are currently greater than 22,000 hectares under production.

Around a third of this is mature orchards, a third is reaching full production and approximately a third is still to come into production.

Current production of 50,000 tonnes NIS. By 700 growers Production can vary from year to year depending on climatic conditions.

#### Bundaberg Market:

The majority of trees were planted in the Bundaberg region in 2003 and now comprises greater than 7,800 hectares planted to 2,440,000 trees encompassing approximately 60 to 70 growers.

A modern processing factory was constructed in 2012.

The Bundaberg region produces 40% of Australia's macadamia nuts being 20,000 tonnes NIS, farm gate (2020) value \$132,000,000, Retail value of \$236,000,000 and is the largest producing region in Australia. Reference Source: Australian Macadamia Society.

#### Historical prices:

|                                  |                                  |
|----------------------------------|----------------------------------|
| 2013 - \$3.00/kg of nut in shell | 2018 - \$5.50/kg of nut in shell |
| 2014 - \$3.80/kg of nut in shell | 2019 - \$5.50/kg of nut in shell |
| 2015 - \$4.50/kg of nut in shell | 2020 - \$6.00/kg of nut in shell |
| 2016 - \$5.20/kg of nut in shell | 2021 - \$5.10/kg of nut in shell |
| 2017 - \$5.50/kg of nut in shell |                                  |

Nut prices have been increasing up until 2017 but eased in 2018, as world demand is outstripping supply particularly from Asia/China. Prices spiked in 2020 and eased in 2021 due to the Corona virus and the exchange rate of the Australian dollar.





## VALUATION CONSIDERATIONS

### MARKET EVIDENCE

| 1. Address                         | Sale Date | Sale Price  | Area (ha) | Improvements Value | Land Value/ha |               |
|------------------------------------|-----------|-------------|-----------|--------------------|---------------|---------------|
|                                    |           |             |           |                    | Improved      | Ex-Structures |
| 742 Moorlands Rd Moorland QLD 4670 | 28/01/20  | \$1,350,000 | 44.21     | \$95,000           | \$30,536      | \$28,387      |

**Land Description:** Comprises 24 ha of gently sloping grey soil forest I irrigated cultivation, 12 ha of irrigated macadamia trees planted 10/2018, good bitumen road access. 15ml dam and a 70ml irrigation water allocation.

**Improvements:** Old timber dwelling and machinery shed.

**Comments:** Reflects \$60,000 /ha. of irrigated macadamia trees  
\$20,500 /ha. of irrigated cultivation

**Aerial:**



**Comparison:** Inferior land area, similar access, superior location and structures.  
Overall inferior, but similar on a rate per irrigated treed ha excluding structures and balance land.



| 2. Address                        | Sale Date | Sale Price  | Area (ha) | Improvements Value | Land Value/ha |               |
|-----------------------------------|-----------|-------------|-----------|--------------------|---------------|---------------|
|                                   |           |             |           |                    | Improved      | Ex-Structures |
| 205 Quinns Road Moorland QLD 4670 | 01/05/20  | \$2,093,000 | 63.72     | \$285,000          | \$32,847      | \$28,374      |

**Land Description:** Established farm that has been growing a variety of small crops such as sweet potatoes (red variety), zucchini's, watermelons & rockmelons. Recently planted 12 ha of Macadamia trees in total there were 3,760 trees planted. Varieties include Daddo's, 741 and MCTI. Grey forest sandy loam soil.

**Improvements:** 5 bedroom home, 2 bathroom and office. A rear deck. Separate garage with 4 bays 12m x 6m which is lockable. Machinery Shed is 28m x 7m. Packing shed is 21m x 20m. Workshop equipped with lunch room 7m x 3.6m is equipped with shower and toilet. Dam with a holding capacity of approx. 30ML.

**Comments:** 72ML water allocation.  
Reflects **\$65,000 /ha. of irrigated macadamia trees**  
\$25,000 /ha. of irrigated cultivation

**Aerial:**



**Comparison:** Inferior land area, similar access, superior location and structures.  
Overall inferior, but superior on a rate per irrigated treed ha excluding structures and balance land.



| 3. Address                               | Sale Date | Sale Price  | Area (ha) | Improvements Value | Land Value/ha |               |
|------------------------------------------|-----------|-------------|-----------|--------------------|---------------|---------------|
|                                          |           |             |           |                    | Improved      | Ex-Structures |
| Mahoney Dexters Road ALLOWAY<br>QLD 4670 | 02/02/21  | \$3,450,000 | 55.05     | \$110,250          | \$62,669      | \$60,666      |

**Land Description:** Comprises 45 ha. of grey soil forest planted to 14,000 macadamia trees being up to 12 months of age. Planted in 2020. Good bitumen road access located close to Bundaberg. 106ml of irrigation water allocation and access to the local council's sewerage irrigation water supply.

**Improvements:** Metal machinery shed in as new condition.

**Comments:** Reflects 45 ha of macadamia trees @ \$71,000/ha  
10.05 ha balance land @ \$14,000/ha

**Aerial:**



**Comparison:** Inferior land area, similar access, superior location and structures.

Overall inferior, but superior on a rate per irrigated treed ha excluding structures and balance land.





| 4. Address                                            | Sale Date                                                                                                                                                                                                                                                                               | Sale Price  | Area (ha) | Improvements Value | Land Value/ha |               |
|-------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|-----------|--------------------|---------------|---------------|
|                                                       |                                                                                                                                                                                                                                                                                         |             |           |                    | Improved      | Ex-Structures |
| 'River Bend' 494 Walkers Rd South<br>Bingera QLD 4670 | 18/06/21                                                                                                                                                                                                                                                                                | \$4,650,000 | 94.49     | \$640,000          | \$49,212      | \$42,438      |
| <b>Land Description:</b>                              | Comprises 35ha of alluvial river flats planted to 11,500 irrigated macadamia trees (9500 planted 2014 & 2002 planted 2020), 59.49 ha. of alluvial river flats planted to improved pastures, fronts the Burnett River, formed gravel road access, located 20 km south west of Bundaberg. |             |           |                    |               |               |
| <b>Improvements:</b>                                  | Comprises modern large clay brick dwelling, metal machinery shed, steel stock yards with concrete floor and metal shed over. All structures being in good condition.                                                                                                                    |             |           |                    |               |               |
| <b>Comments:</b>                                      | Reflects 35 ha planted to 1150 irrigated macadamia trees @ \$97,575<br>59.49 ha of pastured river flats @ \$10,000                                                                                                                                                                      |             |           |                    |               |               |
| <b>Aerial:</b>                                        |                                                                                                                                                                                                      |             |           |                    |               |               |
| <b>Comparison:</b>                                    | <p>Inferior tree numbers and land area, similar access, superior location, tree age and structures.</p> <p>Overall inferior, but superior on a rate per irrigated treed ha excluding structures and balance land.</p>                                                                   |             |           |                    |               |               |



| 5. Address                                                                | Sale Date | Sale Price   | Area (ha) | Improvements Value | Land Value/ha |               |
|---------------------------------------------------------------------------|-----------|--------------|-----------|--------------------|---------------|---------------|
|                                                                           |           |              |           |                    | Improved      | Ex-Structures |
| 'Macadamia Property Portfolio'<br>Various Properties Winfield QLD<br>4670 | 01/08/19  | \$59,226,204 | 1,018.53  | \$1,830,000        | \$49,660      | \$47,863      |

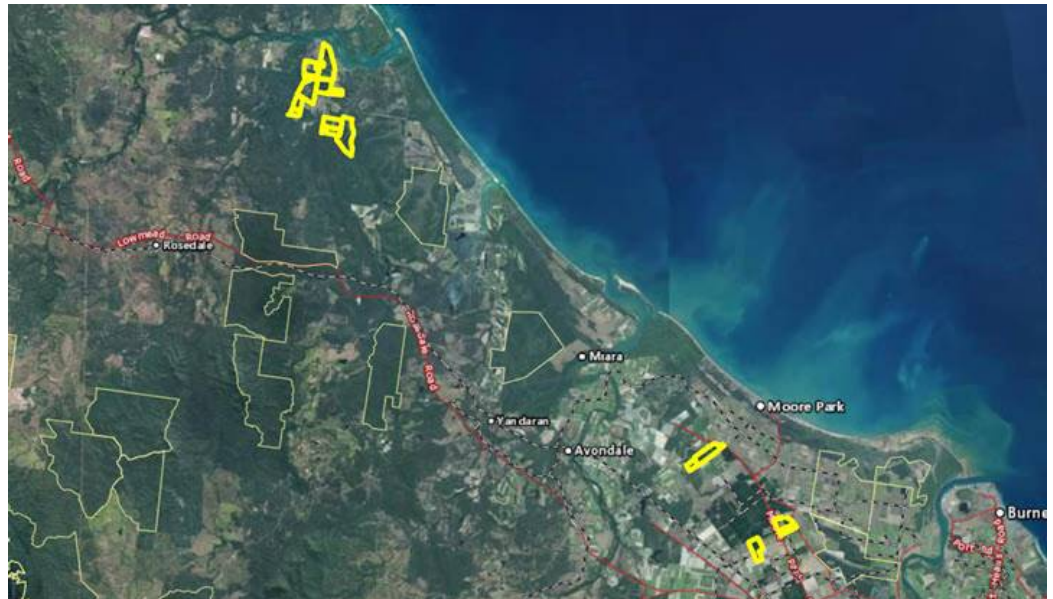
**Land Description:** Located in 2 areas being Winfield located 60km north of Bundaberg and Moorland located 15 km north of Bundaberg, good bitumen road access, 644 ha planted to 262,000 ( mostly mature) irrigated macadamia trees (406 trees /ha), 1838ml irrigation water allocation, reported production 2 tons /ha

**Improvements:** Structures include 6 dwellings, various shed including large processing shed.

**Comments:** Secure Water Licences of 1,838 Megalitres with multiple dams and bores.

Sale reflects 644 ha planted to 262,000 irrigated macadamia trees @ \$75,700/ ha. and 374.53 ha balance @ \$1500/ha.

**Aerial:**



**Comparison:** An older sale however included in the schedule as evidence of demand at higher price points.  
Superior to the subject on all levels of comparison.

## Sales Commentary

### Summation Approach (rate per hectare):

The sales reflect a value range of \$60,000 to \$97,575 per irrigated treed hectare of macadamias. We have adopted \$60,000 per hectare being at the lower end of the range, due primarily to the immature age of the orchard.

### Direct Comparison Approach (total capital value basis):

The sales reflect a total capital value range of \$1,350,000 to \$4.650,000 with the exception of the much larger sale 5 which sold for \$59,226,204.

The subject is significantly larger in scale than sales 1 – 4 and in this regard we have adopted a total capital value of \$12,100,000 (\$36,250/ha overall improved) also being well below the far larger sale 5.



## VALUATION RATIONALE

### Valuation Rationale

In assessing the market value of the subject property we have had regard to the following valuation approaches:

- Summation
- Direct Comparison

These approaches use land area on a per hectare basis as the underlying basis on which to determine value.

### Summation Approach

This approach allows the Valuer to assess the individual components of the property. The various rates applied to both land and buildings are taken from our analysis of sales.

When utilising this methodology the property is valued on a land classification basis on a irrigated , treed rate per hectare. The value of the building improvements are added to the land value. The derived valuation amount for the land, buildings is obtained from comparable sales evidence. The land values are provided on a cleared, fenced and watered basis.

Our workings on this basis are shown below:

### Land Assessment

| Country Classification            | Area (ha)     | Rate (\$/ha)  | Value               |
|-----------------------------------|---------------|---------------|---------------------|
| Established Orchard               | 194.20        | 60,000        | \$11,652,000        |
| Balance Area                      | 139.78        | 3,000         | \$419,340           |
| <b>Total Land Value</b>           | <b>333.98</b> | <b>36,143</b> | <b>\$12,071,340</b> |
| Added Value of Buildings          |               |               | \$20,850            |
| <b>Total – Land and Buildings</b> | <b>333.98</b> | <b>36,206</b> | <b>\$12,092,190</b> |
| <b>Rounded</b>                    |               |               | <b>\$12,100,000</b> |

### Direct Comparison Approach

This approach takes into account that there are individual characteristics of the property including soil type, topography, rainfall, location, production capabilities, level of building improvements, water entitlements and infrastructure development in relation to water, fencing and pasture development.

When applying this approach, the reader needs to appreciate that this methodology requires subjective judgment by the Valuer to determine value. In circumstances where there are multiple land classifications, varying irrigation entitlement types and significant building improvements, the reliability of this approach is reduced.

Our working calculations are detailed in the table below:

| Direct Comparison Valuation Assessment |                         | Value               |
|----------------------------------------|-------------------------|---------------------|
| Irrigated Land and Buildings           | 333.98 ha @ \$36,250/ha | \$12,106,775        |
| <b>Rounded</b>                         |                         | <b>\$12,100,000</b> |





## VALUATION RATIONALE

### Valuation Conclusion

In our valuation assessment of the property we have relied on several approaches and they provide a range of values.

We have placed greater reliance on the summation approach as we consider it provides the most accurate assessment on how the market determines value.

| Valuation Summary          | Value               |
|----------------------------|---------------------|
| Summation Approach         | \$12,100,000        |
| Direct Comparison Approach | \$12,100,000        |
| <b>Adopted Value</b>       | <b>\$12,100,000</b> |

## INSURANCE ESTIMATE

### Summary

In addition to providing a market value assessment for the subject property we have also been asked to provide our estimate of the likely cost of replacement of the buildings in the event they were destroyed.

Our calculations have been undertaken on the basis that the property was completely destroyed, the debris removed from the site and a new building of similar size and style erected in its place. Our assessment also reflects professional fees and an allowance for escalations over the insurance and reconstruction periods. On this basis the estimated costs of \$90,000 (exclusive of GST) would be required to replace the buildings. The Valuer is not a Quantity Surveyor or qualified in the field of building or construction and accordingly no professional liability is extended in this area. The above assessment is indicative only.

It should be noted that the above insurance assessment is exclusive of boundary and internal fencing, irrigation Infrastructure, including pump sheds, underground mains and above ground system.

A detailed assessment should be supplied by a Quantity Surveyor and/or Architect and any party relying on this report is recommended to seek appropriate advice of qualified parties.

A more detailed breakdown of individual improvement insurance values can be found at the end of the Annexures.

## ANNEXURES

1. Instruction Letter
2. Photographs
3. Title Searches
4. Water Allocation
5. Farm Plan & Tree Numbers
6. Vegetation Map
7. Insurance Summary



## CERTIFICATIONS & QUALIFICATIONS

|                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Accuracy of Information</b>         | We advise that any objective information, data or calculations set out in the Valuation Report will be accurate so far as is reasonably expected from a qualified and experienced valuer, reflecting due skill, care and diligence. However, we have not independently verified third party information, adopted it as our own, or accepted its reliability. If any of the information provided by others and referred to in the Valuation Report is incorrect, it may have an impact on the valuation. The valuation is provided on the proviso that the reliant party accepts this risk.                                                                                                                                                                                                                                                                                                  |
| <b>API Standards</b>                   | This valuation has been prepared in accordance with the Australian Property Institute (API) Professional Standards.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Boundary Fencing</b>                | It is not practical to identify all the boundaries of large area rural properties and it is often the case that encroachments of fences exist either way. In most instances this has limited to no effect on productivity, marketability or value. While there do not appear to be any major encroachments, valuers are not surveyors and no warranty can be given without the benefit of an identification survey.                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Condition of Improvements</b>       | Whilst we have carried out a building inspection, we have not completed a detailed structural survey, verified the condition of the plant and machinery, tested any of the services or inspected unexposed or inaccessible portions of the building. We are therefore unable to state that these are free from defect, rot or infestation. We have viewed the general state of repair of the building and have assumed that the improvements are reasonably structurally sound considering their age.                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Insurance Estimate</b>              | Our calculations have been undertaken on the basis that if the property were completely destroyed the debris would be removed from the site and a new building of similar size and style erected in its place.<br><br>Any party relying on this advice must be aware that valuers are not quantity surveyors or qualified in the field of building or construction and accordingly we cannot extend any professional liability in this area and recommend properly qualified advice is sought. Should you require a precise estimate, this should be supplied by a quantity surveyor and/or architect.                                                                                                                                                                                                                                                                                      |
| <b>Chemical Residue</b>                | The valuation assumes the property to have clear chemical residue status. If this is not the case and there is a cost to rectify, such may affect marketability and value and the valuation should be returned for reconsideration or reassessment.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Conflict of Interest</b>            | Neither the valuer, nor to the best of their knowledge, any member of this firm, has any conflict of interest, or direct, indirect or financial interest in relation to this property that is not disclosed herein.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Coronavirus (COVID-19) Pandemic</b> | The Australian economy and property markets are being impacted by the uncertainty caused by the COVID-19 pandemic. As at the date of valuation we consider that there is market uncertainty resulting in valuation uncertainty. As a result, a higher degree of caution should be attached to our valuation than normally would be the case. Given the unknown future impact that COVID-19 inspired economic uncertainty might have on markets, we recommend that any party authorised to rely on this report review this valuation periodically.                                                                                                                                                                                                                                                                                                                                           |
| <b>Encroachments</b>                   | We have physically identified the boundaries upon inspection and there do not appear to be any encroachments. However, we are not surveyors and no warranty can be given without the benefit of an identification survey.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Excluded Searches</b>               | The following searches have not been undertaken: Flood, Land Survey Plan and Contaminated Land Register. Our valuation assumes such searches would identify no issues that may affect the value and/or liquidity of the property. Should any person relying on the contents of this report be aware or become aware of an issue that may affect value and/or liquidity then the searches should be referred to the Valuer for comment.                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>First Mortgage</b>                  | This valuation is provided on the basis that it may be used for assessing and providing first mortgage over the asset. We do not accept liability for losses arising from the assessment and/or provision of non-first mortgages.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Goods and Services Tax (GST)</b>    | We stress we are not experts in assessment of GST. We are not privy to the financial circumstances of the owner(s), any agreements executed (or to be executed) between the parties or the previous transactions relating to the property which may impact upon the status of the property for GST. We recommend any party relying upon this valuation seek independent advice in regard to any GST liabilities which may attach to the property.                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Land not Affected</b>               | Unless identified within the body of this report, we assume, the land is not affected by unstable, hazardous, or toxic soil material; however, no professional expert advice has been sought in this regard. This valuation assumes that there are no problems, however, should any such issues arise; then this matter should be referred to the Valuer for further comment.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Limited Liability</b>               | Liability limited by a scheme approved under professional standards legislation.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Market Movement</b>                 | This valuation is current as at the date of valuation only. The value assessed herein may change significantly and unexpectedly over a relatively short period of time (including as a result of factors that the Valuer could not reasonably have been aware of as at the date of valuation). We do not accept responsibility or liability for losses arising from such subsequent changes in value. Without limiting the generality of the above comment, we do not assume responsibility or accept liability where the valuation is relied upon after the expiration of 90 days from the date of the valuation or such earlier date if you become aware of any factors that have an effect on the valuation. However, it should be recognised that the 90 day reliance period does not guarantee the value for that period; it always remains a valuation at the date of valuation only. |
| <b>Market Uncertainty</b>              | The possibility that the Valuers professional opinion as to the Market Value of the asset may differ from the price that could be achieved in a transfer of the asset as at the valuation date, assuming all other market conditions and variables remain constant.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |



|                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Native Title</b>                            | <p>The title search(es) for the subject property indicate(s) that tenure to the subject property is freehold and, as such, it is likely that any native title claim over the subject property has been extinguished.</p> <p>Although title searches have not been carried out for the subject property, it is understood that tenure to the subject property is freehold and, as such, it is likely that any native title claim over the subject property has been extinguished.</p>                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>No Compliance Certificate</b>               | No Compliance Certificate/Certificate of Classification has been obtained. This valuation is subject to the building(s) complying in all material respects with any restrictive covenants affecting the site. Furthermore, it is assumed that the site improvements have been built, occupied and operated in full compliance with all requirements of law, including all zoning, land-use classifications, building, planning, fire and health by-laws (including asbestos and legionnaires disease), rules, regulations, orders and codes of all authorities, and that there are no outstanding requisitions.                                                                                                                                                                                                                                                                                        |
| <b>No Pecuniary Interest</b>                   | The valuer has no pecuniary interest in the subject property either past, present or prospective at the date of preparing this report and the opinion expressed is free of any bias in this regard.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Not to be reproduced without permission</b> | Neither the whole nor any part of this valuation or any reference thereto may be included in any published documents, circular or statement, nor published in part or full in any way, without written approval of the form and context in which it may appear.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Other Taxation Implications</b>             | Herron Todd White are not taxation experts and we provide our valuation assessment and any associated sales, rental or feasibility analysis, independent of any consideration of income tax, capital gains tax or any other property related tax implications that may be associated directly or indirectly with the subject property.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Prudent Lending</b>                         | This valuation is prepared on the assumption that the lender as referred to in the valuation report (and no other) may rely on the valuation for mortgage finance purposes and the lender has complied with its own lending guidelines as well as prudent finance industry lending practices, and has considered all prudent aspects of credit risk for any potential borrower, including the borrower's ability to service and repay any mortgage loan. Further, the valuation is prepared on the assumption that the lender is providing mortgage financing at a conservative and prudent loan to value ratio. This clause (Prudent Lenders Clause) only applies if the lender is not a lender regulated by the Banking Act 1959 (Cth).                                                                                                                                                              |
| <b>Reliance and Disclosure</b>                 | The Report has been prepared for the private and confidential use by the party to whom it is addressed. This valuation is for the use of and may be relied upon only by the party/parties to whom it is addressed. No other parties are entitled to use or rely upon it and Herron Todd White does not assume any liability or responsibility to any other party who does so rely upon the valuation without the express written authority of Herron Todd White. The whole Report must be read and any failure to do so will not constitute reliance by such party asserting reliance on the Report. Neither the whole nor any part of this valuation or any reference thereto may be included in any published documents, circular or statement, nor published in part or full in any way, without the written approval from Herron Todd White including the form and context in which it may appear. |
| <b>Structural Survey</b>                       | This valuation report does not purport to be a site or structural survey of the land or improvements thereon, and any advice provided is not given in the capacity as an expert.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Termite/Pest Infestation</b>                | The subject property is located in an area considered susceptible to termite infestation. We are not pest inspectors / pest experts. Inspection of the subject improvements did not reveal any obvious visible termite infestation. However, this can only be confirmed by a certified pest control expert.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Town Planning</b>                           | A search has not been provided or obtained and therefore this valuation has been undertaken on the basis that all necessary and appropriate town planning and/or building, consents, approvals and certifications have been issued for the use of occupation of the improvements as more fully described in this report.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |



## Annexure 1 - Instruction Letter

|                          |                                                                                                                                                                                                                                                               |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Service Type             | Rural Report                                                                                                                                                                                                                                                  |
| Address                  | 8 POWERLINE Road<br>BIDWILL QLD 4650<br>18213305                                                                                                                                                                                                              |
| PSG ID                   |                                                                                                                                                                                                                                                               |
| Ordered By               | Jennifer Raines<br>Email: Jennifer.Raines@suncorp.com.au<br>Phone: (07) 41312456<br>Suncorp Metway Limited - SUN<br>Email: valuationsystems@suncorp.com.au<br>Phone: 13 11 75                                                                                 |
| Funder                   | Level 1                                                                                                                                                                                                                                                       |
| Client Agreement Level   |                                                                                                                                                                                                                                                               |
| Client                   | Suncorp Bank - AGRI BUSINESS<br>Email: valuationsystems@suncorp.com.au<br>Phone: 13 11 55                                                                                                                                                                     |
| Client Type              | Bank                                                                                                                                                                                                                                                          |
| Valuation Firm           | Herron Todd White (Central QLD) Pty Ltd<br>Email: wfa.centralqld@htw.com.au<br>Phone: (07) 4927 4655                                                                                                                                                          |
| Valuer                   | Office Valuer<br>Email: wfa.centralqld@htw.com.au<br>Phone: (07) 4927 4655                                                                                                                                                                                    |
| Valuation Type           | Standard Mortgage                                                                                                                                                                                                                                             |
| Order Date               | Tue 8th February 2022, 8:23am AEST                                                                                                                                                                                                                            |
| Ordered Via              | Property Services Gateway                                                                                                                                                                                                                                     |
| Costing Centre           | 04929                                                                                                                                                                                                                                                         |
| Business Unit            | Central QLD                                                                                                                                                                                                                                                   |
| Borrower(s)              | ZL Macadamia Investment Pty Ltd ATF ZL Macadamia Unit Trust                                                                                                                                                                                                   |
| Prices                   | \$12,400,000 (estimated)                                                                                                                                                                                                                                      |
| Transaction              | Re-finance                                                                                                                                                                                                                                                    |
| Purpose                  | Mortgage                                                                                                                                                                                                                                                      |
| Property Type            | Orchards                                                                                                                                                                                                                                                      |
| Previous Sale            | N/A                                                                                                                                                                                                                                                           |
| Property Value           | N/A                                                                                                                                                                                                                                                           |
| Complex Security         | No                                                                                                                                                                                                                                                            |
| Communication            | Communication Path - Valfirm to Client<br>Indicates that the Valfirm can only liaise with the Client                                                                                                                                                          |
| Contact(s)               | Where do I source documentation from? Client to Provide<br>Ensure you add a Delay to request the Documentation<br>Scott Allcott - Other<br>Company: Macadamia Farm MAmangement Pty Ltd<br>Phone: (07) 4159 8331<br>Mobile: 0458 593 971<br>Work: 0458 593 971 |
| Lot and Plan Description | Lot 1 RP188681 , Lot 2 RP895403 , Lot 12 RP177098,<br>WAL5152 CP AP 14179 - 400 ml                                                                                                                                                                            |



## Annexure 2 - Photographs







## Annexure 3 - Title Searches

CURRENT TITLE SEARCH  
QUEENSLAND TITLES REGISTRY PTY LTD

Request No: 40135855  
Search Date: 14/02/2022 12:59  
Title Reference: 16507061  
Date Created: 11/08/1983

Previous Title: 15566069  
15846127

REGISTERED OWNER

Dealing No: 719910115 19/02/2020

ZL MACADAMIA INVESTMENT PTY LTD A.C.N. 633 930 239  
TRUSTEE  
UNDER INSTRUMENT 719910115

ESTATE AND LAND

Estate in Fee Simple

LOT 1 REGISTERED PLAN 188681  
Local Government: FRASER COAST

EASEMENTS, ENCUMBRANCES AND INTERESTS

1. Rights and interests reserved to the Crown by  
Deed of Grant No. 10511052 (POR 61)  
Deed of Grant No. 10511093 (POR 1134)
2. EASEMENT No 719683010 17/10/2019 at 16:18  
benefiting the land over  
EASEMENT A ON SP314474
3. MORTGAGE No 719960864 18/03/2020 at 08:33  
WESTPAC BANKING CORPORATION A.C.N. 007 457 141

ADMINISTRATIVE ADVICES

| Dealing   | Type       | Lodgement Date   | Status  |
|-----------|------------|------------------|---------|
| 714352334 | VEG NOTICE | 08/03/2012 14:31 | CURRENT |

VEGETATION MANAGEMENT ACT 1999

UNREGISTERED DEALINGS - NIL

Caution - Charges do not necessarily appear in order of priority

\*\* End of Current Title Search \*\*

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Requested By: D-ENQ EQUIFAX

Page 1/1



CURRENT TITLE SEARCH  
QUEENSLAND TITLES REGISTRY PTY LTD

Request No: 40135854

Search Date: 14/02/2022 12:59

Title Reference: 50107195

Date Created: 08/01/1996

Previous Title: 16331034  
16331042

REGISTERED OWNER

Dealing No: 719910115 19/02/2020

ZL MACADAMIA INVESTMENT PTY LTD A.C.N. 633 930 239  
TRUSTEE  
UNDER INSTRUMENT 719910115

ESTATE AND LAND

Estate in Fee Simple

LOT 2 REGISTERED PLAN 895403  
Local Government: FRASER COAST

EASEMENTS, ENCUMBRANCES AND INTERESTS

1. Rights and interests reserved to the Crown by  
Deed of Grant No. 10929224 (POR 6V)
2. MORTGAGE No 719960864 18/03/2020 at 08:33  
WESTPAC BANKING CORPORATION A.C.N. 007 457 141

ADMINISTRATIVE ADVICES

| Dealing   | Type       | Lodgement Date   | Status  |
|-----------|------------|------------------|---------|
| 714352334 | VEG NOTICE | 08/03/2012 14:31 | CURRENT |

VEGETATION MANAGEMENT ACT 1999  
UNREGISTERED DEALINGS - NIL

Caution - Charges do not necessarily appear in order of priority

\*\* End of Current Title Search \*\*

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Requested By: D-ENQ EQUIFAX



CURRENT TITLE SEARCH  
QUEENSLAND TITLES REGISTRY PTY LTD

Request No: 40135853

Search Date: 14/02/2022 12:59

Title Reference: 16331043

Date Created: 02/08/1982

Previous Title: 14295058

REGISTERED OWNER

Dealing No: 719910115 19/02/2020

ZL MACADAMIA INVESTMENT PTY LTD A.C.N. 633 930 239  
TRUSTEE  
UNDER INSTRUMENT 719910115

ESTATE AND LAND

Estate in Fee Simple

LOT 12 REGISTERED PLAN 177098  
Local Government: FRASER COAST

EASEMENTS, ENCUMBRANCES AND INTERESTS

1. Rights and interests reserved to the Crown by  
Deed of Grant No. 10929224 (POR 6V)

2. MORTGAGE No 719960864 18/03/2020 at 08:33  
WESTPAC BANKING CORPORATION A.C.N. 007 457 141

ADMINISTRATIVE ADVICES

| Dealing   | Type       | Lodgement Date   | Status  |
|-----------|------------|------------------|---------|
| 714352334 | VEG NOTICE | 08/03/2012 14:31 | CURRENT |

VEGETATION MANAGEMENT ACT 1999

UNREGISTERED DEALINGS - NIL

Caution - Charges do not necessarily appear in order of priority

\*\* End of Current Title Search \*\*

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Requested By: D-ENQ EQUIFAX



## Annexure 4 – Water Allocation

### CURRENT WATER ALLOCATION SEARCH QUEENSLAND TITLES REGISTRY PTY LTD

Request No: 40135794

Search Date: 14/02/2022 12:56

Title Reference: 46020060

Date Created: 09/07/2019

Previous Title: 46013677

#### DESCRIPTION OF ALLOCATION

Allocation Type: ROL WATER ALLOCATION - RESOURCE OPERATIONS LICENCE

Allocation No: 5152 CROWN PLAN AP14179

Plan Name: WATER PLAN (MARY BASIN) 2006

Location: LOWER MARY ZONE

Resource Operations  
Licence: LOWER MARY RIVER WATER SUPPLY SCHEME

Nominal Volume: 400.000 Megalitres

Priority Group: MEDIUM

Purpose: ANY

Other Conditions:  
Nil

#### REGISTERED ALLOCATION HOLDER

Dealing No: 719910115 19/02/2020

ZL MACADAMIA INVESTMENT PTY LTD A.C.N. 633 930 239  
TRUSTEE  
UNDER INSTRUMENT 719910115

#### ENCUMBRANCES AND INTERESTS

ADMINISTRATIVE ADVICES - NIL  
UNREGISTERED DEALINGS - NIL

\*\* End of Current Water Allocation Search \*\*

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Requested By: D-ENQ EQUIFAX

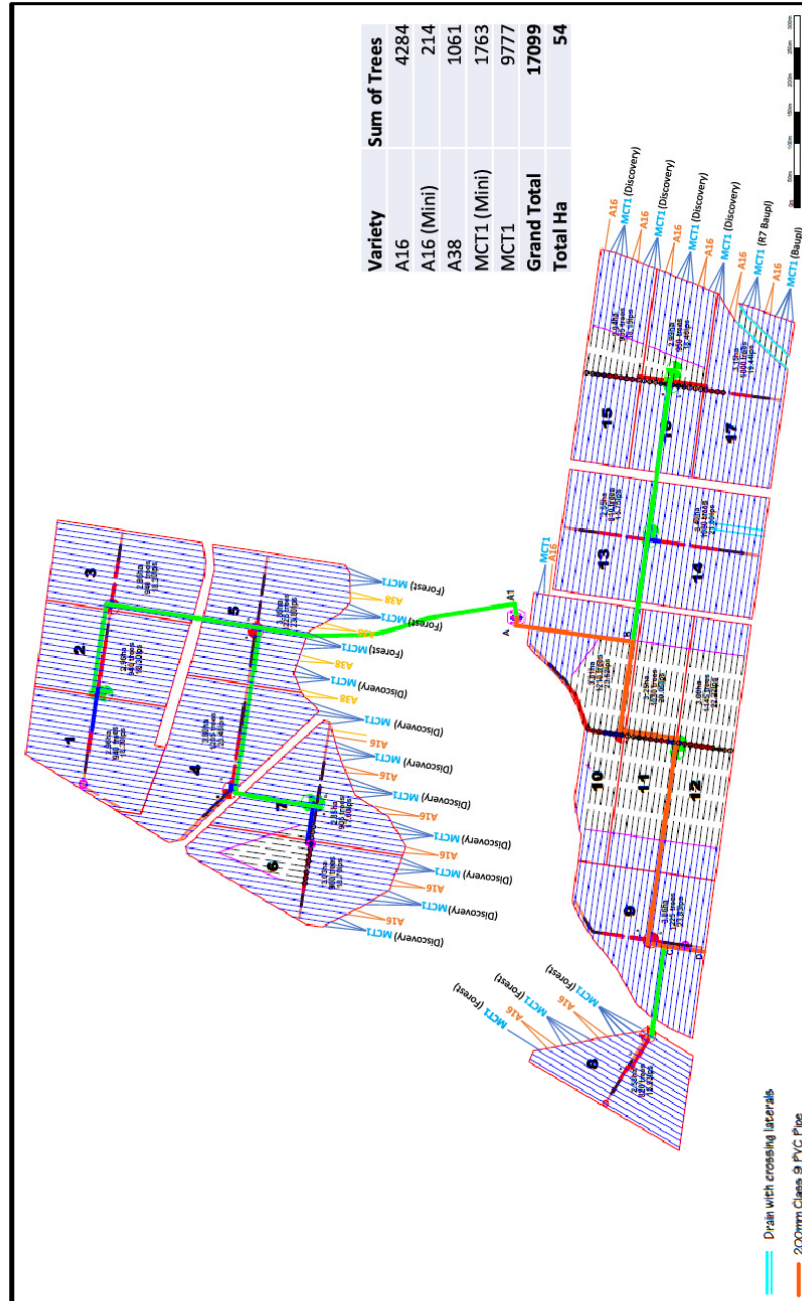
Page 1/1





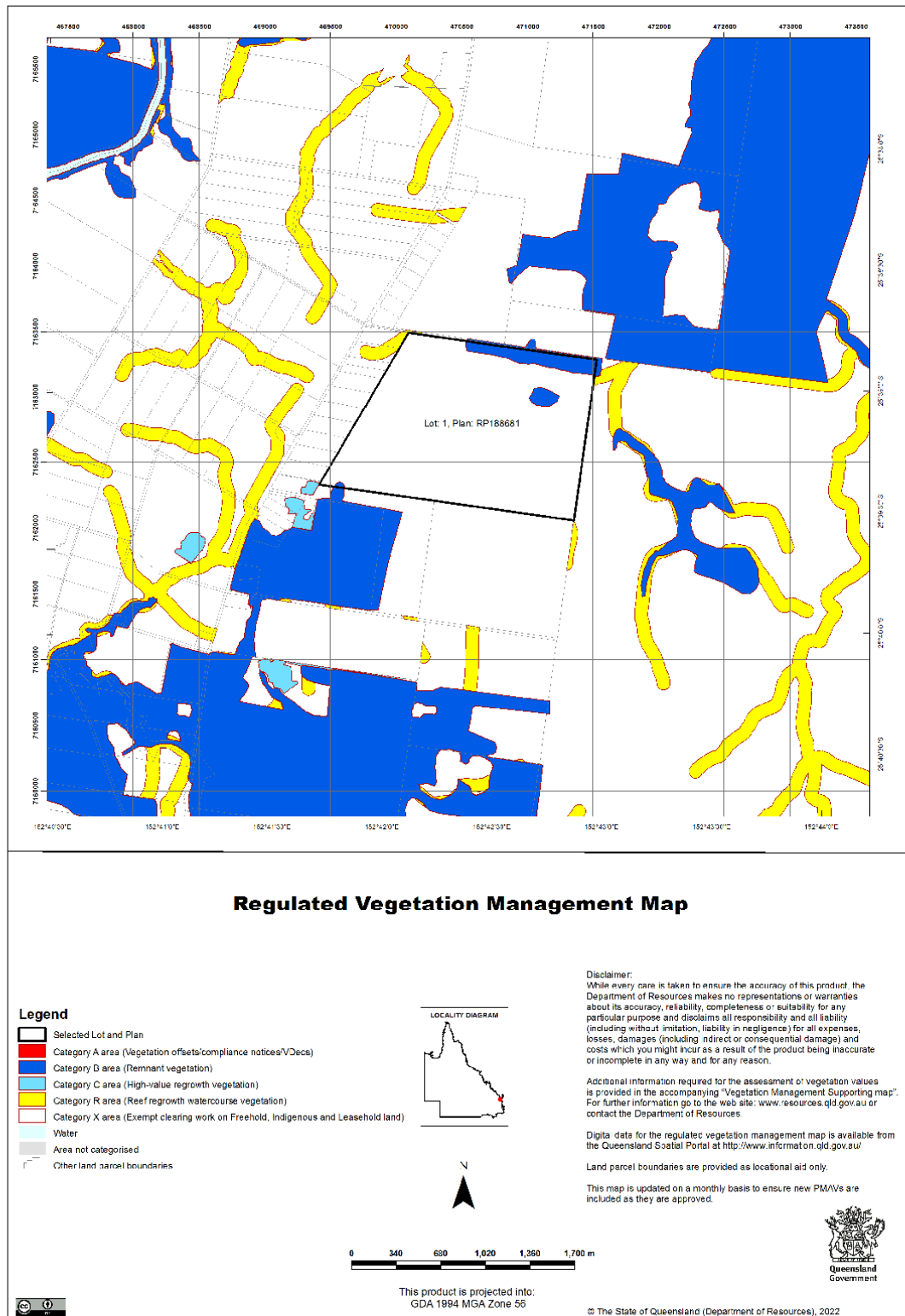
**ZLMPN  
Farm Variety Map**

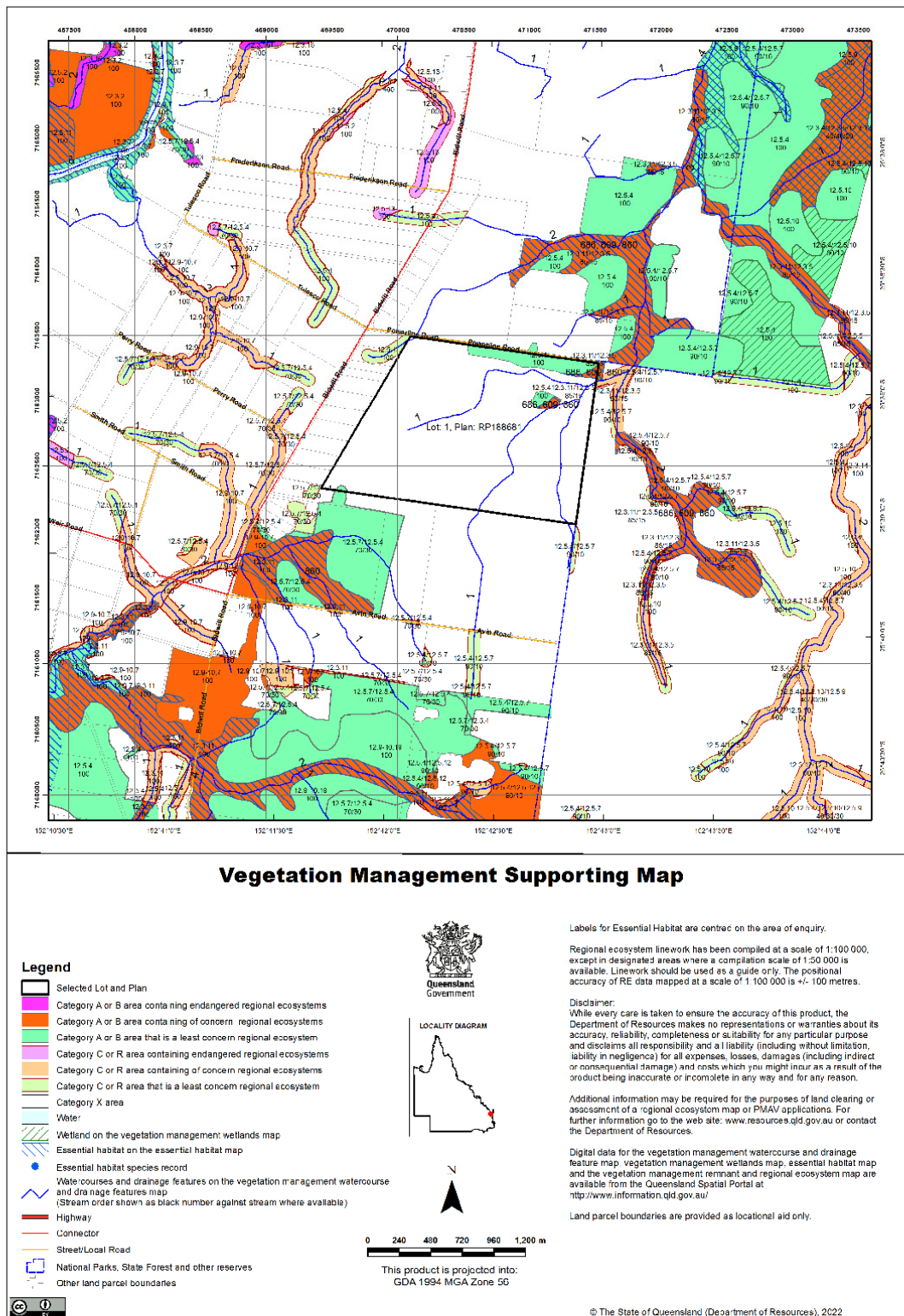
PLANTED NOVEMBER 2020



## Farm Variety Map







## Annexure 7 – Insurance Summary

| Building       | Added Value     | Area - Number | Repl Rate | Repl Value      |
|----------------|-----------------|---------------|-----------|-----------------|
| Machinery shed | \$20,850        | 139 sq.m.     | \$500     | \$69,500        |
| <b>Total</b>   | <b>\$20,850</b> |               |           | <b>\$69,500</b> |
| <b>Rounded</b> |                 |               |           | <b>\$70,000</b> |

| Insurance Summary                | Values          |
|----------------------------------|-----------------|
| Replacement Cost                 | \$70,000        |
| Professional Costs               | \$2,000         |
| Demolition                       | \$5,000         |
| Other                            | \$7,000         |
| Loading                          | \$8,400         |
| <b>Total</b>                     | <b>\$92,400</b> |
| <b>Estimated Insurance Value</b> | <b>\$90,000</b> |

